



SWIFT ACTION The Centre has raised ethanol blending from mandatory 20% to 30% on a non-mandatory basis in near term

lise surplus capacity of 12-13 billion litres out of 20 billion litres of installed capacity. CK Jain, president of the Grain Ethanol Manufacturing Association, says: “Before grains were allowed, the industry faced shortages as sugarcane supply was not sufficient. Now that that is no longer the case, we have sufficient feedstock and installed

capacity to meet over 30% blending with the switch of a button.”

FOOD SECURITY SCARE

To be sure, the concerns about food security are not new. The Economic Survey of 2025-26 had raised an alarm over this matter earlier this year.

It said expanded ethanol blend-

ing “is increasingly reshaping agricultural incentives” and “has begun to reinforce and accelerate” farmers’ shift to maize from pulses, oil seeds and other cereals, particularly in Maharashtra and Karnataka. “From a food security perspective, the implications are non-trivial”, it said, warning “long-term alterations to cropping